Volume. Volume usually trends downward over the length of the pattern from gap to gap. Breakout day volume on the second (right) gap tends to be heavy, but be flexible. Don't discard a pattern because it has an unusual volume trend.

Breakout direction. By definition, island tops break out downward and island bottoms break out upward. The breakout occurs at the second, right, gap.

Duration. The average length for an island is 2 to 3 weeks long, but it can vary from a single day to a year. Islands too long may be difficult to spot. If traders do not recognize a pattern, then they will not trade it. Stick with obvious islands, usually of short duration (say, up to 3 months).

Focus on Failures

Failures come in all manners of depiction. Look at **Figure 45.3**, a chart of a large island top. The island is unusual because it forms after a region of consolidation (shown as the sideways move from October to December). The first gap is a breakaway gap since it breaks away from the consolidation region on high volume and price moves up. The second gap is an exhaustion gap that closes quickly and ends the downtrend.

The figure shows a 5% failure. Price heads lower after the second gap on the right, but declines by no more than 5% before recovering and moving substantially higher. Why? There is a common law, for lack of a better term, that says price has to have something to reverse. In Figure 45.3, you can see that price consolidated for 2 months (end of 1993). When the island top appeared, what was there to reverse? The rise from December to mid-February, when price climbed from roughly 55 to 65, unwound on the decline going into the right gap, leaving the stock where it started the island. Beyond that, the prior year's worth of support at that level (not shown) was too extensive to allow any further decline.

There has to be something to reverse. Remember that before you take a position in a stock, especially something such as an island reversal that is known to be light on performance.